



S ARTIFICIAL INTELLIGENCE (AI)

A enters banking, healthcare, coding, education and enterprise workflows, India risks building its next digital revolution on foreign models, cloud infrastructure and compute.

While India already has an oil and gold import bill burden, experts caution that it might get compounded by AI. This would be driven not by cargo shipments, but by subscriptions, cloud services, inference charges, graphics processing units (GPUs) access and AI infrastructure controlled by global technology companies.

All our AI assistance is imported. Gemini, ChatGPT, Claude, Perplexity, Copilot and others are foreign AI models powering our synthetic intelligence. Mostly free for end users at present, with paid versions for users and enterprises offering a better experience, these could eventually burn a hole in India's pocket, potentially creating a new category of import, i.e., intelligence. The risks are not about something being done in labs to train models. Inference is the use of AI models for practical applications like fraud detection, medical diagnosis, language translation, research, and driverless cars, among others. In FY26, India spent over \$206 billion on crude oil and gold imports. According to the Ministry of Commerce and Industry data, crude oil imports were \$134.7 billion, and gold imports stood at \$71.98 billion. AI subscriptions are nowhere near this yet. AI, however, is increasingly becoming the cognitive layer sitting atop economies, governments, enterprises and digital public infrastructure.

"The dominant models powering Indian enterprises and developer workflows, including OpenAI's GPT series, Google Gemini, Anthropic Claude, etc., are built, governed and

monetised entirely outside India," says Amit Chand, founder of BYT Capital (which has backed AI ventures). Even access to newer models like Anthropic-owned Mythos, which can completely change the cybersecurity landscape, is tightly controlled.

According to Medha Kannapally, Associate at Endiya Partners, India is heavily dependent on foreign AI models and currently imports intelligence in much the same way it imports energy, electronics or advanced semiconductor technologies. Endiya Partners, a venture investor, has backed AI companies, including SigTuple, ThirdAI, Perceptyne and others.

The dependence extends beyond models. It includes GPUs, cloud infrastructure (data centres), model-training platforms, research ecosystems and inference services — the engines that make AI useful in real-world applications.

India is primarily a consumer rather than a producer of foundational AI technologies. Global market intelligence firm IDC projects India's AI spending to touch \$6 billion by 2027. Much of that spending will flow toward subscriptions, APIs, cloud services and inference charges controlled by foreign technology companies.

According to Gaurav Vasu, CEO, UnearthInsight, a Bengaluru-based consultancy, India, which accounts for 10-12% of the user base of global AI models, spent \$2.5 billion in FY25, and it is expected to be more than double by FY28. "As users lean on AI for their work, there will be more users and enterprises paying out for using AI; hence the payouts will increase significantly by FY28 and beyond."

Not everyone sees India's dependence on foreign AI models as necessarily negative. One view is that AI is increasingly becoming a "must-have" tool for work, making adoption inevitable as more users and businesses begin to rely on it.

SUBSCRIPTION COSTS (\$ BILLION)

2.5

FY 2025

4

FY 2026

4.8

FY 2027 (Projected)

6.8

FY 2028 (Projected)